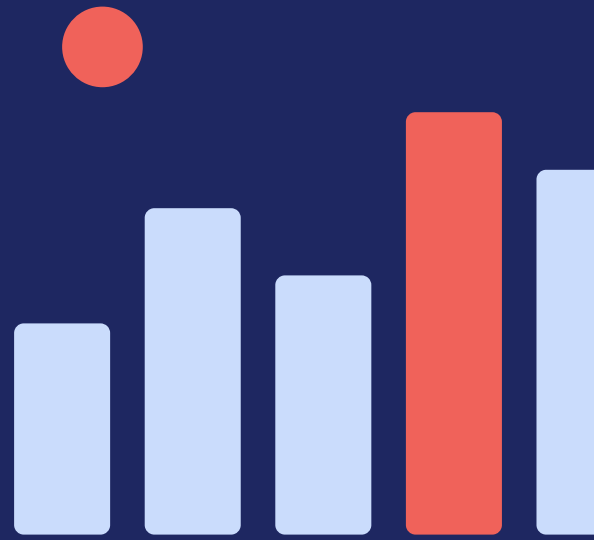
PERFORMANCE APPRAISAL

"A process of evaluating an employee's performance of a job in terms of its requirements."

"Performance appraisal evaluates systematically the performance of an individual with regard to his or her performance on the job and potential for development."

— Beach



Features of Performance Appraisal

1. Systematic process
2. Objective assessment
3. Focus on performance and improvement
4. Periodic and planned
5. Performance evaluation is not a job evaluation

Objectives of Performance Appraisal

1. Compensation decisions
2. Promotion decisions
3. Training and development programmes
4. Feedback
5. Personal development

Process of Performance Appraisal

1. Establishing performance standards
2. Communicating standards and expectations
3. Measuring the actual performance
4. Comparing with standards
5. Discussing results (providing feedback)
6. Decision making – taking corrective actions

UNIT 3

Methods of Performance Appraisal

Traditional approaches and modern, results-oriented techniques used to evaluate employee performance.

Traditional Methods

- A Straight Ranking
- B Paired Comparison
- C Grading Rating Scale
- D Forced Distribution
- E Check List
- F Essay Evaluation
- G Critical Incidents
- H Field Review Method
- I Confidential Reports
- J Performance Tests
- K Group Appraisal

METHODS · MODERN

Modern Methods

A Assessment Centre

B Appraisal by Results (MBO)

C 360° Appraisal

D Human Asset Accounting

E BARS – Behaviorally Anchored Rating Scales

Ranking & Rating Methods

A

Straight Ranking

The relative order of all employees is checked against a numeric index. Raters typically choose the top and bottom performers first, then work toward the middle.

B

Paired Comparison

Each employee is compared with every other member of the group, one characteristic at a time. Effective in principle, but impractical for large groups.

C

Grading Rating Scale

Employee performance is assessed using a printed form. Characteristics such as quantity and quality of work are rated against defined grades.

Distribution & Checklist Methods

D

Forced Distribution

The rater places employees along a set distribution scale (outstanding, above average, average, below average, poor) typically based on job performance and promotability (‘good’ to ‘bad’).

E

Check List

A list of objective or descriptive statements about the employee and required actions. The rater marks an item when the individual clearly lacks that trait.

F

Essay Evaluation

The rater writes positive comments and negative feedback describing the employee’s behaviour in narrative form.

Incident & Field-Based Methods

G

Critical Incidents

The manager keeps ongoing, dated records of specific positive and negative incidents about a job-holder's performance, and uses them during evaluation.

Example:

Positive incident: An employee successfully handles an angry customer and resolves the problem without escalation.

Negative incident: An employee repeatedly fails to meet important deadlines despite reminders.

H

Field Review Method

A trained, experienced HR staff member conducts ratings 'in the field', supporting line managers in assessing their employees.

I

Confidential Reports

Formal evaluation reports prepared by a supervisor on an employee's performance, behaviour and overall job suitability, kept strictly confidential.

Test & Group-Based Methods

J

Performance Tests

Employees are evaluated by observing how well they actually perform specific job-related tasks, rather than relying only on opinions or ratings.

K

Group Appraisal

The appraisee is evaluated by a panel of evaluators. An influential department head or manager may chair the group, with their superior acting as coordinator for the group's activities.

Assessment Centre & MBO

A

Assessment Centre

Introduced in the German Army in 1930. Observers rate subjects performing tasks in simulated work environments — judging interpersonal skill, competency, quality of thought, stress resistance, motivation, communication and creativity.

B

Appraisal by Results (MBO)

Members of an organization collectively adopt group goals and set SMART targets. The idea of management by objectives grew from the work of Drucker and McGregor in management science.

SMART Goals

S	M	A	R	T
Specific	Measurable	Achievable	Result-oriented	Time-bound

Goals should be Specific, Measurable, Achievable, Result-oriented and Time-bound.

360° Appraisal & HR Accounting

C

360° Appraisal

Superiors, subordinates and peers each rate the employee on qualities such as integrity and honesty, job knowledge, and behaviours required for the role — reliability, dependability and communication skill.

D

Human Resource (Asset) Accounting

A sophisticated system for quantifying the impact of personnel management in monetary terms, valuing HR as organizational assets rather than expenses, and assessing employees on cost and contribution.

MODERN METHODS

Behaviorally Anchored Rating Scales (BARS)

BARS is a performance appraisal scale also known as the behavioural standards method. It is an approach, combining the rating scale with the critical incident concept — anchoring numeric ratings to specific, observable behavioural examples for each performance level.

Rating	Behavioural Anchor
5 – Outstanding	Consistently resolves customer issues quickly, politely, and independently; receives positive customer feedback.
4 – Very Good	Handles most customer problems effectively and communicates professionally.
3 – Satisfactory	Handles routine customer queries appropriately but requires occasional guidance.
2 – Needs Improvement	Frequently requires assistance and sometimes fails to respond appropriately to customer concerns.
1 – Poor	Often ignores customer concerns, communicates poorly, and fails to resolve basic issues.

UNIT 3

Challenges in Performance Appraisal

Common sources of bias, inconsistency and communication breakdown — and how to address them.

CHALLENGES

1. Rater Bias

Rater bias is one of the most well-known and prevalent challenges: an assessor lets personal feelings or prejudices influence judgement, rendering the appraisal arbitrary and unfair.

2. Common Biases

i. Halo Effect – high ratings everywhere due to one strong trait

ii. Horns Effect – low ratings everywhere due to one weak trait

CHALLENGES

Common Biases (continued)

iii Leniency / Strictness bias – The rater gives higher scores than employees actually deserve- leniency. The rater gives lower scores than employees actually deserve - strictness.

iv Central Tendency – The tendency to place all employees at the average end of a scale to avoid hard conversations.

Such biases can de-motivate workers, fuel intra-organizational conflict, and lead to unjust reward or punishment.

CHALLENGES

Objectivity & Clarity of Criteria

3. Lack of Objectivity

Most performance ratings still rely on supervisor discretion rather than hard data.

This is tricky when evaluation is not objective, or conclusions rest on impressions rather than verifiable results — limiting employees and undermining the credibility of reviews.

4. Unclear Performance Criteria

When goals or expectations are not well defined, both employee and manager are left confused.

This leads to conflicting appraisals, divergent assessments and disagreement during review discussions — workers can't match output to vague (no clarity) ends, and productivity suffers.

CHALLENGES

Feedback & Communication

5. Infrequent Feedback

Annual or bi-annual reviews are not frequent enough to steer performance effectively.

When feedback is delayed, employees don't know there's a problem until it's too late — and opportunities for real-time correction are lost.

6. Poor Communication

Appraisals should involve open discussion, but often managers don't explain their ratings and feedback is one-way rather than a dialogue.

Useful suggestions get ignored, leaving employees feeling left out — and unlikely to accept or act on feedback.

CHALLENGES

Further Challenges

7

Fear of Negative Reactions

8

Time-Consuming Process

9

Lack of Training for Appraisers

10

Resistance from Employees

11

Focus on Past Performance Only

12

Inconsistency Across Departments (not to follow the same standards)

How to Overcome These Challenges

i. Educate coaches and appraisers on what is fair and appropriate to evaluate

ii. Develop a ranking system with clearly defined criteria and KPIs

iii. Bring in ongoing feedback through regular check-ins

iv. Leverage technology for repeatability and less manual work

v. Promote two-way dialogue during appraisals

vi. Include other raters (e.g. 360° feedback) to increase accuracy

vii. Build sustainable competitive advantage through unique HRM practices

UNIT 3

Management of Careers

The continuous process of preparing, implementing and monitoring career plans — for individuals and for the organization.

Career Management & Career Planning

Career management is the continuous process of preparing, implementing and monitoring career plans — either alone or collaboratively with the organization — to optimize professional growth and career stability.

1. Career Planning

A purposeful process of understanding opportunities, limitations, choices and consequences when setting career-related goals — using work, education and development experiences to define interests, skills and values. Both employees and supervisors take part, with the employee as self-assessor of their own aspirations and needs.

Career Pathing & Career Development

2. Career Pathing

Groups employees' responsibilities and tasks for a given career to identify 'career paths'.

Career paths define a series of positions through which individuals can be promoted, transferred and rotated.

Eg. An employee working as an HR Executive may follow this career path:

HR Executive-> Sr. Hr Executive-> HR Manager-> HR Director

3. Career Development

Systematically plans and executes the linkage between an individual's career needs and the organization's workforce requirements.

It helps people strategically navigate their career development in line with the organization's business needs and strategy.

UNIT 3

Succession Planning

Identifying, evaluating, developing and tracking high-potential employees for the company's future leadership roles.

SUCCESSION PLANNING

What Is Succession Planning?

The process of identifying, evaluating, developing and tracking high-potential employees who are capable of moving into different positions within the company.

It identifies and prepares future company leaders, helps ensure the company runs smoothly when key employees and managers leave, and creates opportunities for development and promotion.



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Developing a Succession Plan (1–5)

1. Identify what positions are included in the plan
2. Identify the employees who are included in the plan
3. Develop standards to evaluate positions (competencies, experience, knowledge)
4. Determine how employee potential will be measured (current & potential performance)
5. Develop the succession planning review process

Developing a Succession Plan (6–8)

6. Link the succession plan with other HR systems: training and development, compensation, performance management and staffing

7. Determine what feedback will be provided to employees

8. Measure the effectiveness of the succession planning process

Types of Succession Planning

1

Strategic Leadership Development

2

Departure-Defined Succession Plan

3

Emergency / Interim Succession Plan

Strategic & Departure-Defined Planning

1

Strategic Leadership Development

Not just about training managers — it is about developing leaders who can drive the organization's vision, adapt to change, and ensure long-term success.

2

Departure-Defined Succession Planning

Triggered only when a key employee leaves the organization, whether due to resignation, retirement, promotion or unforeseen circumstances.

Emergency / Interim Succession Planning

A type of succession planning where an organization temporarily assigns a replacement to a critical role during sudden or unexpected situations.

It is a short-term, immediate arrangement to ensure that important responsibilities continue when a key person is suddenly unavailable.

Common Challenges in Succession Planning

1

Resistance to Change

2

Limited Resources

3

Inadequate Planning

4

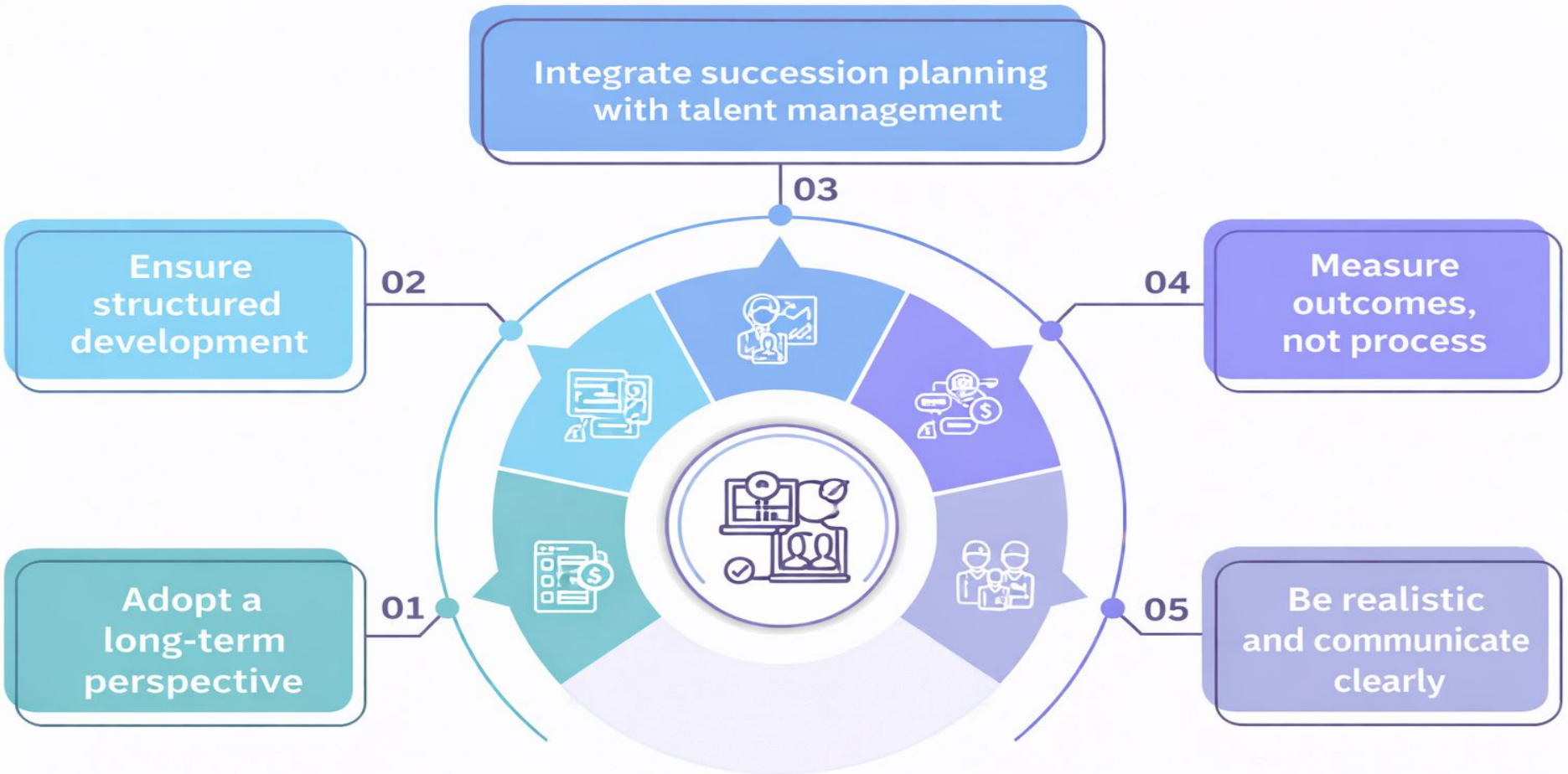
Lack of Employee Buy-in

(employees are not convinced or committed to the proposed change)

5

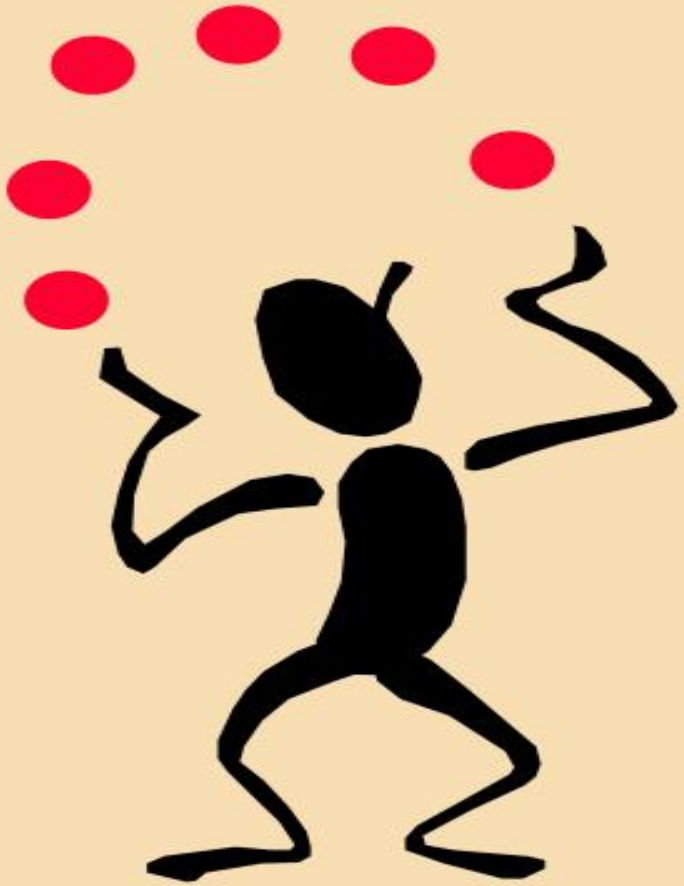
Incomplete Information

Succession Planning Best Practices



3: INDIVIDUAL CAREER MANAGMENT

- Personal goals
- Achievement of goals
- Life planning and analysis
- Balancing work and family, other priorities
- Training, education



Career from Individual versus Organizational Perspective

- ***Organizational Perspective***
  - Career development involves tracking career paths and developing career ladders.
  - HRM seeks information to direct and to monitor the progress of special groups of employees, and to ensure that capable professional, managerial, and technical talents will be available to meet organizational needs.
  - It is called ***organizational career planning***.
- ***Employee Perspective***
  - Individual career development, or career planning, focuses on assisting individuals to identify their major goals and how to achieve them.
  - It addresses each individual's personal work, career and other lifestyle issues.